

ADVANTAGE Daily Drilling Fluids Report - 22



INTEQ

Rpt Date 22/Oct/2006			Well Name/No Bilabri D3			Section Name/No 12 1/4" hole #3			Mud System SYN-TEQ (PARA)		
Job# 1		Spud Date 04/Oct/2006		MD 2025.00 m		Progress 250.00 m		Present Activity Drilling Formation			
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis		
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4	HCC	PDC		19 1/2	166.20	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	60	301
						1056.4	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	63	316
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	60	301
8 1/4	2.800	33.74	5	4.276	1785.63								
8	2.800	46.73	5	3	158.56								
						Tot Active							
						1449.4							
						In Storage							
						846							
						Surface to Bit	5.0 min/924stks		Total System		66.2 min/12119stks		
						Bottoms Up	43.3 min/7922stks						

Mud Properties					Max Ann Velocity		Hole Information					
Property	1	2	3	4	AV Riser	63.33 ft/min	Standpipe Pressure	3580 psi	Water Depth			145.00 m
Sample From	Reserve	Flow Line	Active Pit	Active Pit	AV Casing	174.24 ft/min	Hole Flow	918 USgal/min	Riser Booster Rate			USgal/min
Check Time	06:30	06:05	06:05	23:25	AV Open Hole	274.38 ft/min	Solids Analysis					
MD m	1820.00	1820.00	1999.00	2020.00	Vc Open Hole	430.80 ft/min	Property	1	2	3	4	
TVD m	1819.90	1819.99	1999.00	2020.00	Vc Drill Pipe	399.54 ft/min	LGS %	5.83	7.76	7.59	7.61	
Bit Depth m	1820.00	1820.00	1999.00	2020.00	Min Ann Velocity		LGS lb/bbl	53.11	70.72	69.15	69.36	
Inc deg	0.56	0.56	0.55	0.55	AV Riser	63.33 ft/min	HGS %	6.19	5.16	5.32	5.34	
Density ppg	10.10	10.10	10.10	10.10	AV Casing	68.90 ft/min	HGS lb/bbl	91.14	75.94	78.32	78.65	
Funnel Visc. sec/quart	63.0	66.0	71.0	70.0	AV Open Hole	179.91 ft/min	Avg Dens Sol sg	3.4241	3.2389	3.2595	3.2599	
Circ BHTdegF	189.0	189.0	190.0	191.1	Bit Information							
Flow Line Temp degF		152.0	157.0	164.0	Size	12 1/4 in						
Test Temp degF	90.0	110.0	110.0	110.0	Hours On Bit							
Rheol Temp degF	120.0	120.0	120.0	120.0	Bit Number							
PV cP	21	30	27	28	BHA Number	5	Rheology					
YP lbf/100ft^2	21	30	29	29	Depth In	844.00 m	600 RPM	63	90	83	85	
10sec Gel lbf/100ft^2	9	20	18	17	Bit RPM		300 RPM	42	60	56	57	
10min Gel lbf/100ft^2	15	30	34	32	WOB	klbf	200 RPM	33	50	44	44	
HTHP Filtrate cc	4.0	2.8	3.4	3.0	Nozzles	7x16	100 RPM	24	36	32	33	
HTHP Cake in/32	2.0	2.0	2.0	2.0	Bit Hydraulics		6 RPM	10	19	17	17	
HTHP Temp degF	250.0	250.0	250.0	250.0	TFA	1.3744 in^2	3 RPM	8	17	16	15	
HTHP Pressure psi	500	500	500	300	Nozzle Vel	214.3 ft/sec						
Retort Water %	26.0	25.0	24.0	24.0	Bit Press Loss	415 psi						
Retort Base Fluid %	60.0	60.0	61.0	61.0	HHP / Area	1.91 HP/in^2	Hydraulic Analysis					
Retort Solids %	14.0	15.0	15.0	15.0	HHP	16.5 %	Behavior Index (n)					0.225
Corrected Solids %	12.0	12.9	12.9	13.0			Consistency Index (k)					11.093 #sec^n/100ft^2
Oil:Water Ratio	70:30	71:29	72:28	72:28			ECD @ Bit Depth					10.38 ppg
Alk (Whole Mud-POM) cc/cc	1.00	1.30	1.00	1.30			ECD @ Casing Shoe					10.34 ppg
Cl (Whole Mud-Clom) cc/cc	49000	51000	51000	50000	Fluid Comments/ Recommendations							
Ca (Whole Mud-Caom) cc/cc	0	0	0	0	Prepared 250 bbls of premix to meet volume demands in anticipation of additional mud from town. Slowly utilizing some in the system while drilling ahead and some to cut back heavy mud from boat. Run centrifuge at intervals and upsized shaker #3 from 175s to 200 mesh screens due to fine sandy formation being dilled. Gradually treating system with Calcium Carbonate - Fine while drilling sand. Mud Check #1 is for reserve mud. Received 552 bbls of SBM, 537 bbls of Base oil & SBM Chemicals from MV Crusader. USED 4 NEW 200 MESH SHAKER SCREENS							
Excess Lime lb/bbl	1.3	1.7	1.3	1.7								
Brine Density sg	1.20	1.22	1.23	1.22								
NaCl % wt	0	0	0	0								
CaCl2 % wt	23	24	25	25								
Elect. Stab.V	388.0	554.0	561.0	570.0								
Sand %	0.20	0.40	0.40	0.40								
Drilling Comments												
Drilled 12-1/4" hole f/1775 t/1815m. Ream & survey each std. Circulate while carrying out fault finding & repair work on #2 Engine @ 1815, 1828 & 2005m. Cont drilling t/2025m.												

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Waboso Peter / Olayinka 'Kunle	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	80320.76 USD	434194.36 USD	398497.24 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

ADVANTAGE Daily Drilling Fluids Report - 22



INTEQ

Rpt Date 22/Oct/2006		Well Name/No Bilabri D3		Section Name/No 12 1/4" hole #3		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 04/Oct/2006		MD 2025.00 m		Progress 250.00 m		Present Activity Drilling Formation
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	4.0		9.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	3.0	2 x 210	6.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	10.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	10.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 200	10.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					45	0	

Volumes										
Additions bbl				Losses bbl		Total Volumes bbl				
Mud Added	552	Weight Materials		Downhole	34	Left In Pit	Starting Volume	1770.9	Riser w/o Pipe	201.4
Brine		Water		Cased Off		Trip Losses	Daily Additions	802.1	Casing w/o Pipe	346.8
Base Fluid	226	Product	24.1	Left In Hole		Injected	Daily Losses	277	Open Hole w/o Pipe	569.4
Recycled		Other		Discharged		Spill To Environment	Ending Volume	2296.0	String Displacement	61.2
				SCE	45	Onshore Disposal	Net Change	525.1	String Capacity	110.3
				Evaporation	32	Returned			Total Hole w/ Pipe	1056.4
				Other Losses	166				Total Active	1449.4
									Total Reserve	846.0

IADC Hours										
Drilling Formation				13	Circulate				11	

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	79420.76	Daily Product Cost	0.00	Primary Product	406913.11
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	27281.25
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	80320.76	Total Daily Cost	0.00	Primary Total	434194.36
Total Inventory Value	398497.24	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	428686 lb

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product											
CALCIUM CHLORIDE (97%)	25 kg	40		320			160	200	6.25	6.84	
CARBO-GEL	50 lb	98		80			23	155	1.55	2.67	
MIL-LIME	25 kg			200			60	140	4.41	4.00	
OMNI-COTE	55 USgal	4						4			
OMNI-MUL	55 USgal	10		20			2	28	1.61	0.88	
OMNI-PLEX	55 USgal	12		12				24	0.54		
OMNI-TEC	55 USgal	5		12			2	15	1.20	0.93	
PARA-TEQ	1 bbl	338		537			226	649			
Water Based Product											
BLACK MAGIC SF T	25 kg	80		40				120			
CAUSTIC SODA	25 kg	32						32			
MIL-BAR	1000 kg	71						71	4.88	9.00	
SAW DUST	25 kg	29						29			
Xanthan Gum	25 kg	47						47			
LCM											
CALCIUM CARBONATE - FINE	25 kg	120					20	100	1.61		
CALCIUM CARBONATE - MED	25 kg	120						120	1.05		
KWIKSEAL - MEDIUM	25 kg	35						35			
MIL-PLUG FINE	25 kg	84						84			
MIL-SEAL MEDIUM	25 kg	60						60			
SOLUFLAKE F	50 lb	80						80			
SOLUFLAKE M	50 lb	80						80			

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Waboso Peter / Olayinka 'Kunle	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	80320.76 USD	434194.36 USD	398497.24 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.